

out in the crowd, it doesn't stand a chance and you're forced into the strategy of "cutting prices to stand out from the crowd."

GET IN BUSINESS FOR THE RIGHT REASON

Why are you in business? Most likely for the wrong reason.

A perfect example is the limo industry, where new companies recirculate like turnstiles at the train station. What compels someone to open a limousine business? Rarely because of need. Nope, people get into the business because they are fulfilling their own selfish need—because they just want to, just like I wanted to years ago. In fact, the limo business appears to be some sort of graduation from taxi driver. Did the market need a new limousine company? Was there intent to deliver a superior product that stands above the competition? Nope. The intent was selfish: *I want to own a limo company so I'm going to start one.*

This creates excess supply and weak demand—too many limos running around and not enough customers. When supply exceeds demand, prices must drop; suddenly, the product becomes commoditized. Your total disregard toward market needs leads down the road to commoditization, where you must sell your soul to the buyer who wants the cheapest price. Where does this insanity start? People start businesses they have no business starting. People start businesses "doing what they love" or "doing what they know."

A gentleman who owns a carpet-cleaning business posted a similar story at the Fastlane Forum. He wrote:

The problem is that although I provide incredible value for what I do, it is based on something that people don't want to buy. People will avoid cleaning their carpets for as long as is physically possible. So in reality, I'm providing something that is of little value. Thus, I can conclude that I need to change my business premise. So what values do I change my business premise to target? What do people value today? I think I'm in a business that is based on a bad business premise.

I feel bad for this man. Why is he in the carpet-cleaning business? Because there was a need? Or because *he needed a job and wanted his own business*? Regardless of the reason, he operates in an industry where the service is commoditized. Business owners fight over every customer while they earn fewer and fewer dollars for each. If he wants to grow, he has to cut his price.

My response was that you can't change your business premise because you are already in the business. The right business premise would have steered you clear of the industry or got you in the industry to attack a unfilled need. When hundreds of people get into a business solely because they know how or want to, and it is not based on need, you get put into the position you are in: price wars haggling